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Nomura Quant Insights

Global Markets Research
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Cross-asset - Japan

Level of volatility needed for genuine recovery in yen carry trade

Jackson Hole poses downside risks for equities / CTAs covering short positions in Japanese equities / Little interest in LDP leadership election

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Jackson Hole Symposium as a downside risk factor for equity markets

The key event this week is the Jackson Hole Symposium (22-24 August). As usual, the expectation is that the detailed schedule of the event will be published on the afternoon of the first day of the conference, but it has already been reported that Fed Chair Jerome Powell will be speaking on 23 August. We think the symposium poses downside risks for equities, partly because the market has already gone quite far in pricing in rate cuts, and partly because the event premium that equity market participants have implicitly assigned to the symposium is on the low side (*Figure 1*). Bearing in mind, in particular, that macro hedge funds have welcomed the pricing-in of rate cut expectations by adding to their long exposure to US equities, the market could head downward if Mr Powell were to deliver a hawkish surprise in his comments, as macro investors might be moved to sell equities to lock in profits (*Figure 2*).

But what would happen if the message turned out to be dovish? If Mr Powell were to emphasize the importance of a healthy labor market or in other ways show some consideration for the economy (much as he did when committing to defeating inflation in 2022), then the expectations for steep rate cuts would probably stick, and the equity market would likely hold up well, at least through the September FOMC meeting. We think macro funds would probably hold on to their long exposure to US equities at least until the actual rate-cutting starts, which is what happened the last time the Fed started a rate-cutting cycle, in 2019 (see our 13 August 2024 report titled *Nomura Quant Insights - Volatility likely to remain high despite rebound in share prices*). Meanwhile, the systematic investors that reduced their long exposure after the spike in volatility would, if anything, probably start accumulating long positions again, albeit at a slow pace (*Figure 3*).

CTAs now covering short positions in Japanese equities

Japanese equities continued rising last week, making substantial gains. The swift pick-up in the time since the 5 August meltdown seems to have more to do with supply and demand than with the fundamentals. In our view, the first reason for this is that speculative investors have turned around and started covering their short positions. As mentioned in our 13 August 2024 report *Nomura Quant Insights - Volatility likely to remain high despite rebound in share prices*, macro hedge funds have already finished covering their short positions in response to dovish comments made by BOJ Deputy Governor Shinichi Uchida (*Figure 4*). At a slight lag to that, CTAs started covering their short positions in Japanese equities from the middle of last week (*Figure 5*). CTAs' aggregate net short position in Japanese equities has now shrunk to about ¥800bn, down from the recent peak of ¥2trn. We expect the short covering to continue for the next two or three weeks. The second reason is that pension funds have made rebalancing purchases of equities, while other investors have bought the market dip in anticipation of such rebalancing purchases. Based solely on our conversations with the investors with whom this author regularly converses, nearly all the investors who moved to buy the dip immediately after the 5 August meltdown have mentioned that their bullishness on Japanese equities (at least in the short term) is based in part on the expectation that the Government Pension Investment Fund (GPIF) will need to buy equities to rebalance its portfolio. The latest available data on GPIF allocations by asset class, as of end-June, showed Japanese bonds at 24.9%, Japanese equities at 24.7%, foreign bonds at 24.8%, and foreign equities at 25.7% (all on a basis that excludes transfers to the National Pension Special Account). The amount of buying of Japanese equities needed to reach those percentages increased rapidly to around ¥8trn in the immediate wake of the meltdown. However, the market has since rallied mightily, and we think the implied amount of net buying the GPIF would need to engage in has

Note:

Unless expressly stated otherwise, mentions of the exposure or positioning of various investor classes are estimates derived from Nomura's model, and are not actual, measured figures.

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

already shrunk to less than ¥1trn. If equities gain another 2%, expectations for buying linked to GPIF portfolio rebalancing ought to evaporate entirely. In the near term, we think short covering by CTAs is likely to lift the Nikkei 225 to around 39,000, but gains beyond that would probably require some case for bullishness beyond mere supply-demand dynamics. It is probably best to assume that selling on strength is likely to increase once the index reaches 39,000 or so.

The level of volatility needed for a genuine recovery in the yen carry trade

We see two main upside risks on the immediate horizon. The first is the risk of a resurgence in the yen carry trade. The latest data from the CFTC is worth a look here. Our nowcasting model had been pointing to a slight increase in speculators' net short JPY position, but it turns out that as of last Tuesday speculators flipped to being long JPY for the first time in about three years (*Figure 6*). We think persistently high volatility probably explains why speculative investors are so reluctant to get back into yen carry trades (*Figure 7*). Since the meltdown, investors of many stripes have asked us what the prerequisites for a recovery in the yen carry trade might be. Even taking into account the opposing forward trajectories of monetary policy in Japan and the US, we think the Japan-US 3M interest rate spread is likely to remain wide. If volatility settles back down, it seems likely that the yen carry trade will make a comeback. One signpost to watch for here is whether three-month forward implied volatility makes it back down to around 9% (which is where it stood in mid-July). Should that happen, we would expect macro hedge funds to let go of their current reluctance to get into yen carry trades and start leveraging up again (*Figure 8*). Indeed, a big-picture look at the CFTC data reveals that speculators tend to start proactively adding to their short JPY exposure once volatility drops below 10% (*Figure 7*).

Markets showing little interest in the LDP leadership election

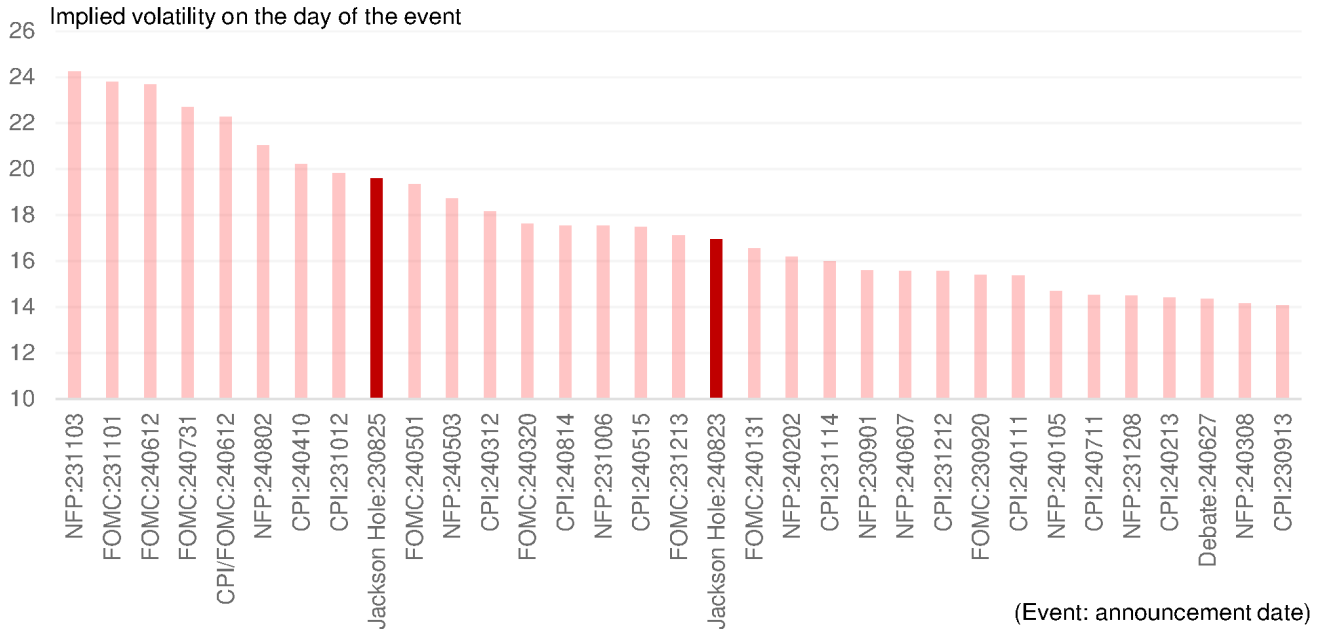
The second upside risk we see has to do with political developments in Japan. Last Wednesday, Prime Minister Fumio Kishida announced that he would not be standing for re-election as leader of the LDP, and market participants are starting to weigh the prospect of a snap general election being called once the LDP leadership election is over. It is a well-known market anomaly that in the event of a snap general election, Japanese equities tend to gain during the span between the dissolution of the Lower House and the date of the election. But there is no such obvious market anomaly associated with an LDP leadership election. At the time of the last party leadership election, what was striking was the way in which macro hedge funds greatly added to their long exposure to Japanese equities when it looked as though Taro Kono might become the party's president; they then downsized this exposure substantially when a victory by Mr Kishida came to look more likely (*Figure 4*). What we assume was happening here was that macro funds liked Mr Kono's eagerness to pursue structural reforms, echoing the reform push by former PM Junichiro Koizumi (see our report of 28 September 2021 titled *Japan equity strategy - How will next prime minister be assessed from share price perspective?*). This time around, however, we get almost no sense that reform-minded candidates for the party presidency are favored by the market. More fundamentally, it looks to us as though the party leadership election is not even being seriously considered as a trade idea. What may be happening here is that as Japan has already emerged from deflation and the TSE is already pressing companies to up their governance games, market participants have less reason to place their hopes on politicians of a reformist bent.

That said, we will be interested to see what the candidates have to say about currency markets in light of the recent volatility. It seems probable that politicians have become more attentive to currency movements than they have traditionally been. Historically, there has been a positive correlation between the expected performance of the stock market and the Cabinet's approval rating, but if anything the reverse is true now (*Figure 9*). Households' concerns about the weakness of the yen may well have something to do with this. The Economy Watchers Survey reveals that there is still a great deal of interest in the exchange rate even though currency market volatility has not increased that much (*Figure 10*).

Reference figures

Fig. 1: Event premia assigned by S&P 500 options market to major events over past year

Event premium for Fed Chair Powell's speech at Jackson Hole Symposium lower than in 2023, and slightly lower than for recent events too

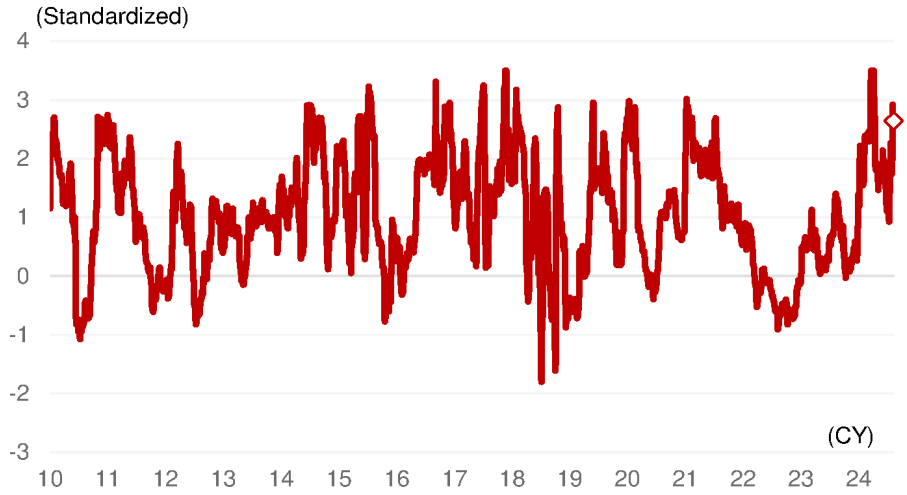


Note: Key events over past year are FOMC, release of CPI and employment data, presidential debates, and Jackson Hole summit. Implied volatility is calculated one week prior to event.

Source: Nomura, based on Bloomberg data

Fig. 2: Macro hedge funds' exposure to US equities

Substantial increase in macro hedge funds' net long exposure to US equities

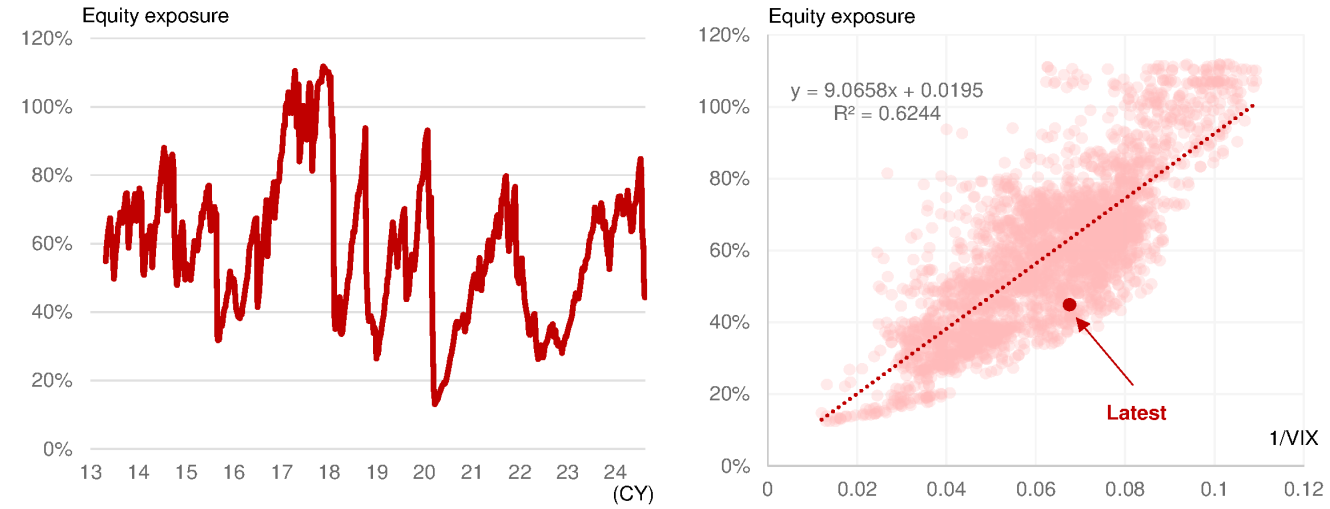


Note: CTAs are excluded from macro hedge funds included here. Exposure to US equities estimated as regression coefficient (beta)—standardized to one standard deviation—for S&P 500 in a multiple regression model in which macro hedge funds' performance over preceding two months is regressed against performance of two variables over same period: S&P 500 and ICE US Treasury 7-10 Year Bond Index. Sample period is 4 January 2010 through 15 August 2024 (latest value shown as white diamond).

Source: Nomura, based on Bloomberg data

Fig. 3: Equity exposure following volatility control strategies, and how that exposure correlates with VIX

Adjustment in equity exposure looks finished now, and possibly a little overdone



Note: Graph counts both risk parity funds and volatility control funds. Risk parity funds are assumed to be invested in three asset types (equities, bonds, and inflation-linked assets); volatility control funds are assumed to be invested only in equities. For both, we assume 200% to be maximum leverage. Sample period is 2 January 2013 through 16 August 2024.

Source: Nomura, based on Bloomberg data

Fig. 4: Macro hedge funds' position in Japanese equities

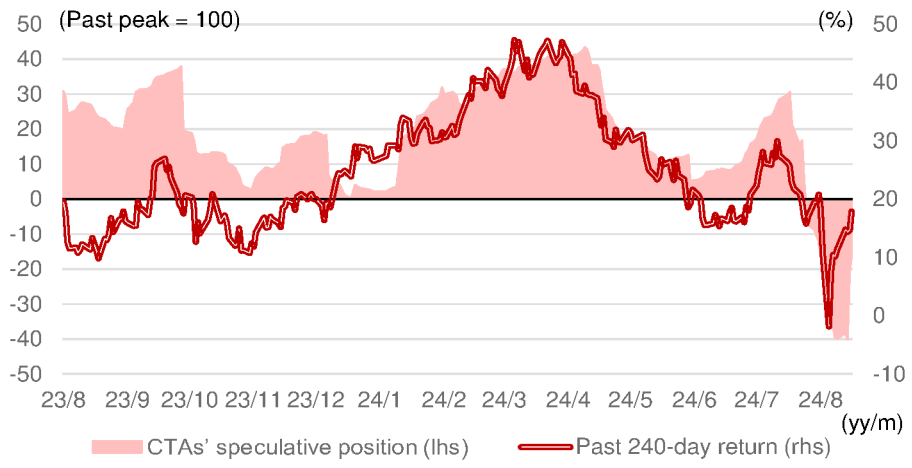
Macro funds greatly increased their short exposure after July MPM but then turned around and began covering shorts after comments by BOJ Deputy Governor Shinichi Uchida

Note: Macro hedge funds' position in Japanese equities is expressed on relative scale in which peak long position and peak short position since 2016 are each set to 100.

Source: Nomura, based on Bloomberg data

Fig. 5: CTAs' speculative position in Nikkei 225

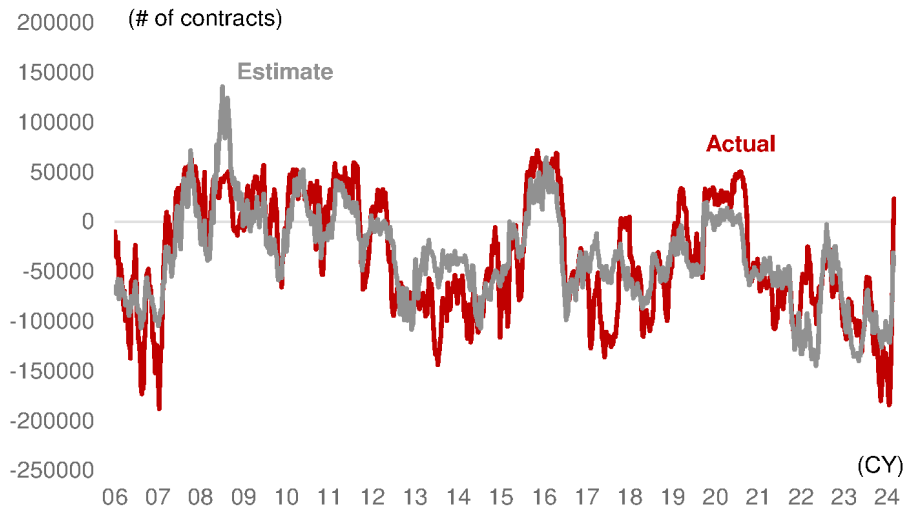
CTAs' speculative positions are on relative scale, where peak long position and peak short position since 2000 are both set to 100.



Source: Nomura, based on Bloomberg data

Fig. 6: Model of speculative JPY positions (non-commercial traders as disclosed by CFTC)

Current switch to long yen position somewhat surprising

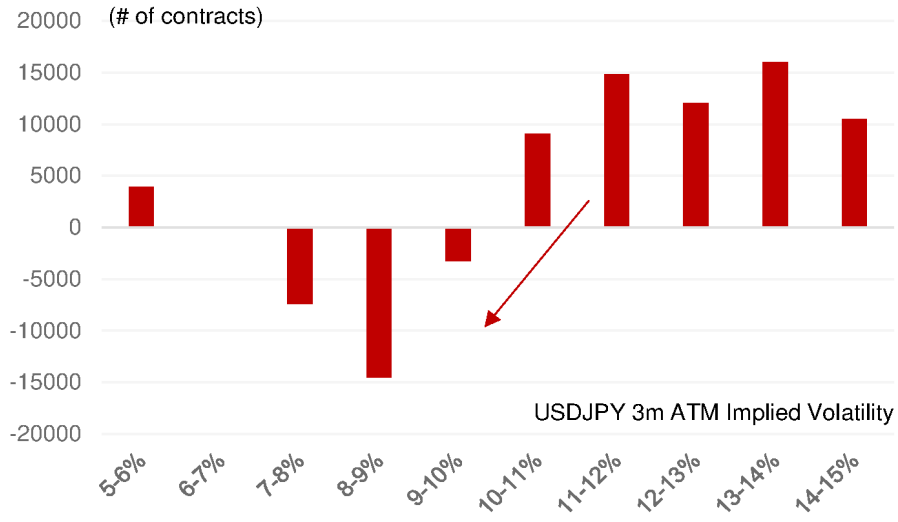


Note: Independent variables are expected return on carry trades, implied volatility in USD/JPY, and spot returns. Sample period is June 2006 to present.

Source: Nomura, based on Bloomberg data

Fig. 7: Residual error in estimate of speculative JPY positions (non-commercial traders as disclosed by CFTC) vs USD/JPY implied volatility

Speculators tend to proactively add to their short JPY exposure when three-month forward implied volatility drops below 10%

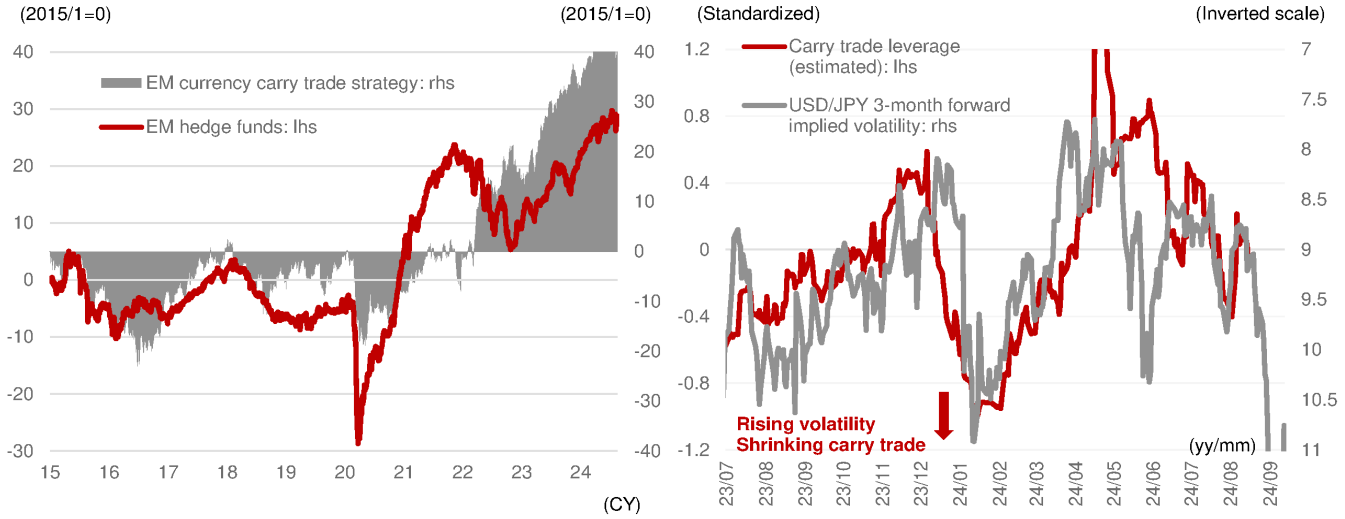


Note: We take residual error in estimate of speculative JPY positions (for non-commercial traders as disclosed by CFTC) and calculate averages for varying degrees of implied volatility. Independent variables are expected return on carry trades, implied volatility in USD/JPY, and spot returns. Sample period is June 2006 to present.

Source: Nomura, based on Bloomberg data

Fig. 8: Performance of emerging market hedge funds (left) vs carry trade leverage (right)

Leverage could increase again if volatility falls to around 9%

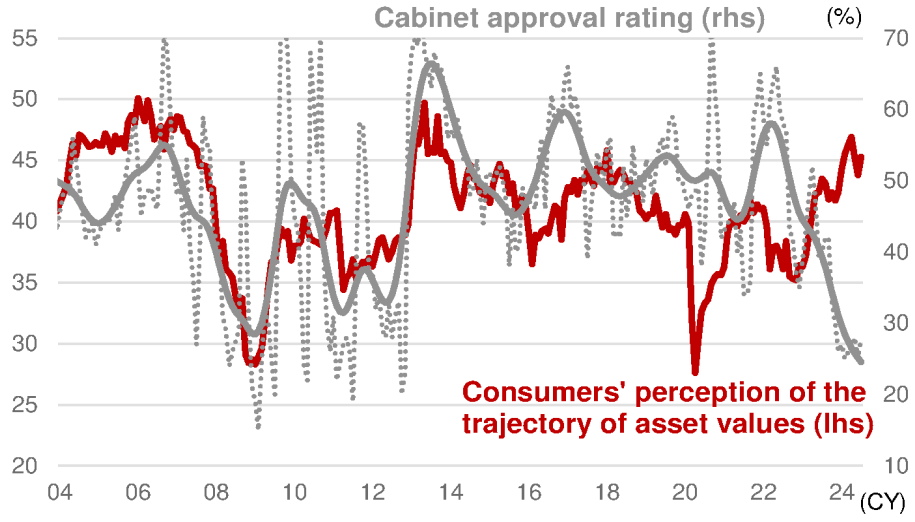


Note: EM currency carry trade strategy examined here takes long positions (of equal weights) in eight EM currencies and short position in JPY. The eight EM currencies included are Brazilian real (BRL), Mexican peso (MXN), Indian rupee (INR), Indonesian rupiah (IDR), South African rand (ZAR), Turkish lira (TRY), Hungarian forint (HUF), and Polish zloty (PLN). Carry trade leverage estimated based on performance of EM hedge funds and performance of this carry trade strategy (using standardized periods for estimates). Sample period is 30 March 2012 through 15 August 2024.

Source: Nomura, based on Bloomberg data

Fig. 9: Cabinet approval ratings vs consumer perceptions of trajectory of asset values as shown in Consumer Confidence Survey

Historically, expectations for stock market gains have tended to be correlated with Cabinet approval ratings, but the opposite has been true recently

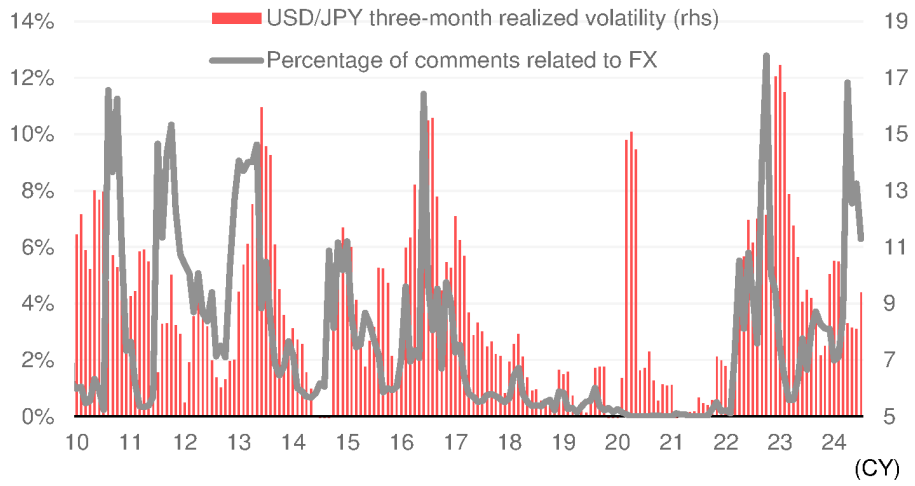


Note: Consumer perceptions of the trajectory of asset values are an indication of what consumers think of the prospects for the value of their asset holdings (equities, land, etc) over the next six months.

Source: Nomura, based on Cabinet Office, Nikkei data

Fig. 10: Percentage of mentions of FX in Economy Watchers Survey and USD/JPY volatility

Marked increase in interest in FX relative to volatility



Source: Nomura, based on Cabinet Office, Bloomberg data

Appendix: CTAs' speculative positions

Fig. 11: Estimates of CTAs' speculative positions in major asset classes

Asset		CTAs' speculative position: Latest	CTAs' speculative position: 1 week ago	Change in the "natural" position over time (ppt change from the estimated current position): 1 week from now	2 weeks from now	3 weeks from now	4 weeks from now	Chart
Equity	S&P500	16%	19%	1.8	2.9	3.2	4.2	
	NASDAQ100	2%	5%	1.3	1.5	1.8	2.1	
	Nikkei225	-16%	-40%	4.7	10.3	14.5	14.4	
	STOXX50	9%	14%	2.3	3.4	3.3	2.9	
	FTSE100	33%	32%	1.5	4.4	9.3	10.1	
Bond	UST10y	25%	22%	8.4	7.9	6.8	5.7	
	UST2y	26%	24%	1.9	1.2	0.7	0.5	
	JGB	3%	1%	0.2	-0.3	-6.9	-12.3	
	Bund	22%	18%	5.6	2.7	1.9	0.9	
	Gilt	9%	6%	10.3	6.7	4.6	3.1	
Forex	EUR/USD	1%	1%	0.5	2.6	5.6	5.8	
	USD/JPY	-18%	-32%	2.5	5.7	8.3	7.9	
	GBP/USD	0%	-4%	0.2	1.3	5.3	10.5	
	USD/CAD	11%	10%	-4.5	-7.5	-10.7	-13.0	
	AUD/USD	-15%	-11%	3.2	4.8	6.8	10.8	
	NZD/USD	-9%	-15%	0.8	1.2	1.7	2.7	
	USD/CHF	-19%	-13%	-6.4	-6.4	-6.1	-5.4	
	USD/NOK	-3%	8%	-1.8	-4.9	-7.5	-6.4	
	USD/SEK	3%	5%	-3.2	-5.9	-5.4	-3.1	
Commodity	Brent	-19%	-18%	-3.0	2.8	5.6	3.6	

Note: "Natural" position is our estimate of how CTAs' aggregate net position would change over the next four weeks if the spot price were to remain constant. Current as of 16 August 2024.
Source: Nomura, based on Bloomberg data

Previous installments in this report series:

13 Aug:

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8 Aug:

Current state of JPY carry positions, a focus for equity investors

5 Aug:

Next threat to the market comes from speculators who were slow to get out

2 Aug:

Macro hedge funds mounting a full-fledged attack on the downside in Japanese equities

1 Aug:

What CTAs are up to following the BOJ and FOMC meetings

Appendix A-1

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